

Consider This: Weaponising shipping for supply chains

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Preview

This is one of five papers from the full report?Consider This: The weaponisation of supply chains?exploring how key supply chains are evolving ? and what it means for long-term investment strategy.

Shipping is the invisible engine of global trade ? moving 11 billion tons of goods each year, from raw materials to finished products. But its role in supply chains is becoming more visible, more politicised, and more vulnerable. In this paper, we examine how maritime logistics is being drawn into the geopolitical arena. From defence readiness to trade resilience, the implications are wide-ranging.

Investors should not underestimate the coming disruption of trade with the United States because of these measures, and although there will be increased investment in building a US commercial fleet over time, it will have to wait for US Navy orders to be completed first. Consequently, leveraging the capabilities of reliable allies such as South Korea and Japan is welcome. Just as defence manufacturers from these countries are benefiting from European rearmament, their shipyards are likely to benefit from forthcoming US orders.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securitiesare subject to price fluctuation and possible loss of principal.

International investmentsare subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified inemerging markets.

The government?s participation in the economy is still high and, therefore, investments inChinawill be subject to larger regulatory risk levels compared to many other countries. There are special risks associated with investments inChina, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Hong Kong and Taiwan could be adversely affected by its political and economic relationship with China.

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